Coca-Cola KO

NYSE · Consumer Defensive · Beverages - Non-Alcoholic · USD · Price date 30.10.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
67.23	94.08	−28.5%	−1.4%	404.7bn	2.2%
DDM	USD, close 30.10.26	$V_0 / P_0 - 1$	IR −0.10	USD	DO USD 2.10

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The two-stage DDM gives USD 67.23, against a price of USD 94.08. At a cost of equity of 6.68%, the price implies 4.4% dividend growth forever, against about 4% at the last raise [2]. The business is doing well: Q3 volume rose 5% and organic revenue 7% [1]. But the market has paid for this, at 26.7x forward earnings against 17.6x for peers.

MARGIN OF SAFETY AND ALPHA

Margin of safety −28.5%, alpha −1.4% a year (IR −0.10), assuming the gap never closes.

CATALYST

Sale of 75% of Coca-Cola Beverages Africa closes · `By 31 Dec (company)`. Guidance assumes a Q4 close, subject to approvals [1]; South Africa cleared it in September [3]. It makes the 2027 drag concrete, about 8% off revenue and 2% off EPS [1], but this is already guided: a small move.

Eleventh Circuit ruling on the IRS tax case · `No date set`. Heard on 25 Jun 2026, still pending in the Q3 10-Q [4]. It can come any day, but there is no deadline. It cuts both ways: a full loss costs up to about USD 22bn, near USD 5 a share; a win returns USD 6.6bn [4].

DECISION

No position: negative alpha. This is an excellent company at a full price, not a mispricing we can buy. Alpha is negative even if the gap never closes, so we would not hold it in a long-only book.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

Coca-Cola has raised its dividend for 64 years [2] and returns cash mainly through it: USD 6.8bn of dividends against USD 0.9bn of buybacks in nine months [4]. We use two stages because earnings are growing faster than a global staple can sustain forever: 6.0% for 5 years, then 3.0%.

METHODS THAT DO NOT FIT

Gordon alone would apply one rate to both phases. A cash-flow DCF would start from FY25 FCF, cut by the one-off fairlife payment [5]. P/B says little: brands built in-house are not on the balance sheet. Few peers have these margins, so the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 94.08	Close 30.10.26, not adjusted
D_0, dividend	USD 2.10	Dividends paid, last 12 months
β on SPY	0.28	Slope on SPY, 60 months
r_f, 10-year yield	4.98%	FRED DGS10, 29.10.26
ERP	6.11%	Bloomberg CRP, Class 5: refresh
$k = r_f + \beta$ ERP	6.68%	CAPM
g_1, first stage	6.0%	Near consensus EPS growth of 5.6%
T, years	5	Years of above-trend growth; ours
g_2, terminal	3.0%	Below the 4–6% sales algorithm [8]; ours
Gordon value	USD 58.78	−38% vs price
Two-stage value	**USD 67.23**	**−29% vs price; 85% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
5.68%	69.69	79.32	92.54	111.82	142.58
6.18%	61.26	68.45	77.89	90.86	109.79
6.68%	54.63	60.18	**67.23**	76.50	89.23
7.18%	49.28	53.68	59.12	66.04	75.14
7.68%	44.88	48.43	52.74	58.09	64.88
Upside	−42%	−36%	−29%	−19%	−5%

Two-stage DDM value, USD. Shaded: at or above the price of 94.08. Dark: base case. Upside at the base k.

The DDM reaches the price in only 3 of 25 cases, and only if k falls and g2 rises together. The price already sits in the favourable corner of the grid.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

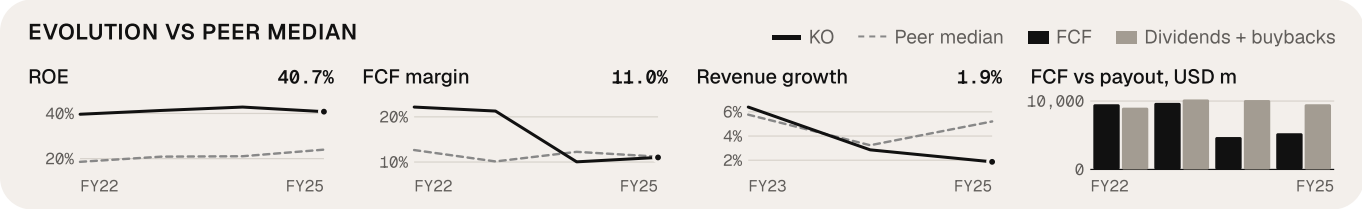
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
PEP PepsiCo	187.2	15.9x	24.4x	11.9x
KDP Keurig Dr Pepper	48.8	14.2x	32.8x	18.6x
MNST Monster Beverage	92.7	36.2x	47.8x	30.5x
CCEP Coca-Cola Europacific	49.7	20.5x	24.8x	17.2x
CELH Celsius Holdings	7.4	17.2x	22.8x	13.7x
FIZZ National Beverage	3.3	18.1x	21.2x	13.5x
Peer average		**20.3x**	**29.0x**	**17.6x**
Peer median		**17.6x**	**24.6x**	**15.4x**
KO Coca-Cola	**404.7**	**26.7x**	**76.4x**	**24.8x**
Implied price at peer average		71.75	35.65	64.67
Implied price at peer median		62.15	30.29	56.11

Comps value USD 59.13 (−37%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY25	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND	
Profitability	ROE	**40.7%**	23.9%	41.2%	better	worsening	
Profitability	ROA	**12.5%**	7.1%	10.6%	better	improving	
Profitability	FCF margin	**11.0%**	11.2%	17.8%	worse	worsening	**Red flag**
Growth	Revenue growth	**1.9%**	5.2%	4.6%	worse	worsening	**Red flag**
Growth	Gross margin	**61.6%**	52.3%	59.6%	better	improving	
Safety	Debt / equity	**1.41**	0.63	1.68	worse	improving	
Payout	Payout / FCF	**1.80**	0.55	1.38	worse	worsening	**Red flag**

Earnings test: adjusted EPS 3.00 (FY25) → 3.34 → 3.53 (forward): rising. Trailing GAAP EPS of 3.39 is close to the adjusted figure.



WATCH **Red flags or falling earnings, not both: watch, not a trap.** Two flags are one-offs: the USD 6.0bn FY24 IRS deposit [4] and the USD 6.1bn FY25 fairlife payment [5] cut FCF; the second also lifts P/FCF to 76.4x. FY26 guidance restores FCF [1]. Organic revenue grew 5% in FY25 [5]. **The issue is the price, not the business.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	−30.4%	−2.10
Gap never closes	α never = $D_1 / P_0 + g - k$	−1.4%	−0.10
Used: never closes	**Goes into Treynor-Black**	**−1.4%**	**−0.10**

Q4 results and the dividend raise should fall after the challenge [2][5], and no dated event forces the gap shut by December, so we use α never. It turns positive only if dividends grow above 4.4% forever. IR −0.10, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

UPSIDE: WHAT WOULD PROVE US WRONG

A g2 of about 4.2% would justify the price, close to the 4.4% it implies. We are wrong if Q3's volume growth lasts and dividends compound above that, or if long yields fall. A court win returns USD 6.6bn [4].

MANAGEMENT QUALITY AND THE ACTIVIST ROUTE

CEO Henrique Braun, since 31 Mar 2026, joined in 1996 [6]. Capital goes to dividends and debt: buybacks were USD 0.9bn in nine months [4]. No activist route: about USD 400bn of market cap, and Berkshire has held since 1988 [7].

Model flags: *Negative alpha: weight 0 (long-only).*

[1] Coca-Cola, Q3 2026 results, 27 Oct 2026. [2] Coca-Cola, 64th dividend increase, 19 Feb 2026. [3] Just Drinks, Tribunal clears bottling deal, 15 Sep 2026. [4] Coca-Cola, Form 10-Q, Q3 2026. [5] Coca-Cola, Q4 2025 results, 10 Feb 2026. [6] Coca-Cola, CEO succession, 10 Dec 2025. [7] Motley Fool, Berkshire's holdings, 27 Feb 2026. [8] Q3 2026 earnings call transcript (Singju Post). Market data: Yahoo Finance and FRED, downloaded 01.11.26.